



MANFORCE GROUP BERHAD

(Registration No.: 201701014455 (1228620-V))
(Incorporated in Malaysia)

HALF-YEARLY ANNOUNCEMENT FOR FINANCIAL STATEMENTS YEAR ENDED 28 FEBRUARY 2025

CHARACTERISTICS OF THE LEAP MARKET OF BURSA MALAYSIA SECURITIES BERHAD ("BURSA SECURITIES")

THE LEAP MARKET HAS BEEN POSITIONED AS A MARKET DESIGNED TO ACCOMMODATE CORPORATIONS TO WHICH A HIGHER INVESTMENT RISK MAY BE ATTACHED THAN OTHER CORPORATIONS LISTED ON THE ACE MARKET OR MAIN MARKET OF BURSA SECURITIES. IT IS A QUALIFIED MARKET WHICH IS MEANT MAINLY FOR SOPHISTICATED INVESTORS ONLY. ONLY EXISTING SECURITIES HOLDERS AND SOPHISTICATED INVESTORS ARE ALLOWED TO PARTICIPATE IN CORPORATE EXERCISES UNDERTAKEN BY MANFORCE GROUP BERHAD ("MANFORCE" OR THE "COMPANY" OR THE "GROUP"). SOPHISTICATED INVESTORS SHOULD BE AWARE OF THE POTENTIAL RISKS OF INVESTING IN SUCH CORPORATIONS AND SHOULD MAKE THE DECISION TO INVEST ONLY AFTER DUE AND CAREFUL CONSIDERATION.

**MANFORCE GROUP BERHAD**

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**UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT
28 FEBRUARY 2025 ⁽¹⁾**

	Unaudited 28 Feb 2025 RM'000	Audited 29 Feb 2024 RM'000
NON-CURRENT ASSETS		
Property, plant and equipment	466	907
Right-of-use assets	5,574	3,628
Intangible assets	137	124
Investment properties	460	390
Other investments	2,548	2,914
Deferred tax assets	72	-
	<u>9,257</u>	<u>7,963</u>
CURRENT ASSETS		
Inventories	68	68
Trade and other receivables	25,054	21,516
Prepayments	8,291	8,161
Contract assets	12,984	10,022
Tax recoverable	499	616
Fixed deposits with licensed banks	3,660	2,792
Cash and bank balances	<u>10,158</u>	<u>6,301</u>
	<u>60,714</u>	<u>49,476</u>
TOTAL ASSETS	<u>69,971</u>	<u>57,439</u>



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UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 28 FEBRUARY 2025 ⁽¹⁾ (CONTINUED)

	Unaudited 28 Feb 2025 RM'000	Audited 29 Feb 2024 RM'000
EQUITY AND LIABILITIES		
EQUITY		
Share capital	21,329	21,329
Reorganisation reserves	(12,599)	(12,599)
Retained earnings	29,074	18,906
Non Controlling Interests	(439)	-
TOTAL EQUITY	37,365	27,636
NON-CURRENT LIABILITIES		
Bank borrowings	5,411	7,292
Lease liabilities	1,258	-
Deferred tax liabilities	-	20
	6,669	7,312
CURRENT LIABILITIES		
Trade and other payables	15,476	11,638
Contract Liability	278	-
Bank borrowings	8,572	10,853
Lease liabilities	925	-
Tax liabilities	686	-
	25,937	22,491
TOTAL LIABILITIES	32,606	29,803
TOTAL EQUITY AND LIABILITIES	69,971	57,439
 Net assets per share attributable to ordinary equity holders of the parent (RM)	 0.1168	 0.0864

Note:

1.The Unaudited Condensed Consolidated Statement Of Financial Position is to be read in conjunction of the accompanying explanatory notes attached to this interim financial report.



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**UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND
OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 28 FEBRUARY 2025 ⁽¹⁾**

	Individual 6 Months Ended		Cumulative 12 Months Ended	
	28 Feb 2025	29 Feb 2024	28 Feb 2025	29 Feb 2024
	RM'000	RM'000	RM'000	RM'000
Revenue	93,450	78,472	181,292	145,450
Cost of sales	(77,788)	(66,232)	(151,732)	(124,038)
Gross profit	15,662	12,240	29,560	21,412
Other income	317	238	494	493
Administrative expenses	(7,334)	(6,318)	(14,276)	(12,087)
Net reversal on impairment of financial instruments	(327)	5	(327)	5
Other expenses	(426)	(1)	(426)	(2)
Other gains/losses	1	(150)	-	26
Operating profit	7,893	6,014	15,025	9,847
Finance income	-	57	-	91
Finance costs	(637)	(545)	(1,210)	(1,145)
Profit before tax	7,256	5,526	13,815	8,793
Tax expense	(1,831)	(1,749)	(3,324)	(2,532)
Net profit for the financial year	5,425	3,777	10,491	6,261
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive profit for the financial year	5,425	3,777	10,491	6,261
Total comprehensive profit for the financial year attributable to:				
Owner of the Company	5,425	3,777	10,893	6,261
Non-Controlling interests	-	-	(402)	-
	5,425	3,777	10,491	6,261
Earnings per ordinary share (sen):				
- Basic	1.70	1.18	3.40	1.96

Note:

1. The Unaudited Condensed Consolidated Statement Of Profit Or Loss And Other Comprehensive Income is to be read in conjunction of the accompanying explanatory notes attached to this interim financial report



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UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 28 FEBRUARY 2025 ⁽¹⁾

	Attributable to owners of the Company				Non-controlling interests	Total equity
	Share capital RM'000	Reorganisation reserve RM'000	Retained earnings RM'000	Subtotal RM'000	RM'000	RM'000
As at 28 February 2023 (Audited)	21,329	(12,599)	12,646	21,376	-	21,376
Total comprehensive income for the financial year	-	-	6,260	6,260	-	6,260
As at 29 February 2024 / 1 March 2024 (As previously stated)	21,329	(12,599)	18,906	27,636	-	27,636
Prior Year Adjustment	-	-	(761)	(761)	-	(761)
As at 29 February 2024 / 1 March 2024 (As restated)	21,329	(12,599)	18,145	26,875	-	26,875
Total comprehensive profit for the financial period	-	-	10,892	10,892	(402)	10,490
Disposal of subsidiary to non-controlling interest			37	37	(37)	-
As at 28 February 2025 (Unaudited)	21,329	(12,599)	29,074	37,804	(439)	37,365

Note:

1. The Unaudited Condensed Consolidated Statement Of Changes In Equity is to be read in conjunction of the accompanying explanatory notes attached to this interim financial report.

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UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 28 FEBRUARY 2025 ⁽¹⁾

	12 Months Ended	
	Unaudited 28 Feb 2025	Audited 29 Feb 2024
	RM'000	RM'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit before tax	13,815	8,793
Adjustments for :		
Depreciation of plant and equipment	146	231
Depreciation of right-of-use assets	1,072	46
Amortisation of intangible asset	25	23
Depreciation of investment property	5	5
Fair value loss on financial assets at FVPL - realised	-	(14)
Fair value (gain) on financial assets at FVPL - unrealised	346	(12)
Impairment loss on		
- trade receivables	(321)	-
- other receivables	(18)	-
Finance costs		
- bank overdraft	144	288
- hire purchases payable	18	19
- term loans	463	477
- lease liability	122	1
- revolving credits	-	299
- invoicing financing	462	38
- others	21	23
Finance income		
- deposits placed with licensed banks	(97)	(72)
- other interest income	(2)	(1)
- unwinding of discount of financial asset	(19)	(19)
Reversal of impairment losses		
- other receivables	-	(5)
Gain on disposal of plant and equipment	-	(27)
Impairment losses on investment property	(70)	75
Dividend Income	(98)	(77)
Operating profit before working capital changes	16,014	10,091



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UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 28 FEBRUARY 2025 (CONTINUED) ⁽¹⁾

	12 Months Ended	
	Unaudited	Unaudited
	28 Feb 2025	29 Feb 2024
	RM'000	RM'000
Changes in working capital:		
Inventories	-	8
Trade and other receivables, deposits and prepayments	(3,329)	(3,395)
Contract assets	(2,962)	(3,330)
Trade and other payables	3,837	593
Cash generated from operations	13,560	3,967
Interest received	2	1
Interest paid	(1,213)	(1,125)
Tax paid, net of tax refunded	(2,778)	(1,445)
NET CASH GENERATED FROM OPERATING ACTIVITIES	9,571	1,398
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from disposal of plant and equipment	-	27
Proceeds from disposal of quoted equity securities	-	115
Purchase of quoted equity securities	(127)	(341)
Purchase of plant and equipment	(249)	(280)
Purchase of intangible assets	(38)	(28)
Change in pledged deposits	(924)	(258)
Dividend income received	98	77
NET CASH USED IN INVESTING ACTIVITIES	(1,240)	(688)

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UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 28 FEBRUARY 2025 (CONTINUED) ⁽¹⁾

	12 Months Ended	
	Unaudited 28 Feb 2025 RM'000	Unaudited 29 Feb 2024 RM'000
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest paid	(18)	(18)
Drawdown of Borrowings	-	3,900
Drawdown of revolving credit	-	3,450
Repayment of term loans	(1,362)	(1,743)
Repayment of hire purchase payables	-	(118)
Repayment of invoice financing	-	(1,000)
Repayment of revolving credits	-	(500)
Repayment of lease liabilities	(924)	(6)
NET CASH (USED IN) / GENERATED FROM FINANCING ACTIVITIES	(2,304)	3,965
	28 Feb 2025 RM'000	29 Feb 2024 RM'000
NET INCREASE IN CASH AND CASH EQUIVALENTS	6,027	4,675
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE FINANCIAL YEAR	3,565	(1,110)
CASH AND CASH EQUIVALENTS AT END OF THE FINANCIAL YEAR	9,592	3,565

Note:

The unaudited condensed consolidated statement of cash flows statement is to be read in conjunction of the accompanying explanatory notes attached to this interim financial report.



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Part A – Explanatory notes to the interim financial statements for the year ended 28 February 2025

1. Basis of preparation

The interim financial statements of Manforce are unaudited and have been prepared in accordance with the Malaysian Financial Reporting Standards ("MFRS") 134: Interim Financial Reporting.

This is the interim financial report on the financial results for the financial year ended 28 February 2025 announced by the Company in compliance with Paragraph 6.12 of the LEAP Market Listing Requirements of Bursa Securities ("Listing Requirements").

The interim financial report should be read in conjunction with the Audited Financial Statements of the Group for the financial year ended 29 February 2024 and the accompanying explanatory notes attached to this interim financial report.

2. Significant accounting policies

The significant accounting policies adopted by the Group in this report are consistent with those adopted in the Audited Financial Statements of the Group for the financial year ended 29 February 2024 except for the adoption of the following new and amended MFRS, and Issues Committee ("IC") Interpretations mandatory for annual financial periods beginning on or after 1 March 2024:



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2. Significant accounting policies (Continued)

Standards issued but not yet effective

The standards and interpretations that are issued but not yet effective up to the date of issuance of the Group's financial statements are disclosed below. The Group intend to adopt these standards, if applicable, when they become effective.

		Effective for financial periods beginning on or after
<u>New MFRS</u>		
MFRS 17	Insurance Contracts	1 January 2023
<u>Amendments/Improvements to MFRSs</u>		
MFRS 1	First-time Adoption of Malaysian Financial Reporting Standards	1 January 2023#
MFRS 3	Business Combinations	1 January 2023#
MFRS 5	Non-current Assets Held for Sale and Discontinued Operations	1 January 2023#
MFRS 7	Financial Instruments: Disclosures	1 January 2023#
MFRS 9	Financial Instruments:	1 January 2023#
MFRS 10	Consolidated Financial Statements	Deferred
MFRS 15	Revenue from Contracts with Customers	1 January 2023#
MFRS 16	Leases	1 January 2024
MFRS 17	Insurance Contracts	1 January 2023
MFRS 101	Presentation of Financial Statements	1 January 2023/ 1 January 2023#/ 1 January 2024
MFRS 107	Statements of Cash Flows	1 January 2023#
MFRS 108	Accounting Policies, Changes in Accounting Estimates and Errors	1 January 2023
MFRS 112	Income Taxes	1 January 2023
MFRS 116	Property, Plant and Equipment	1 January 2023#
MFRS 119	Employee Benefits	1 January 2023#
MFRS 128	Investments in Associates and Joint Ventures	1 January 2023#
MFRS 132	Financial Instruments: Presentation	1 January 2023#
MFRS 136	Impairment of Assets	1 January 2023#
MFRS 137	Provisions, Contingent Liabilities and Contingent Assets	1 January 2023#
MFRS 138	Intangible Assets	1 January 2023#
MFRS 140	Investment Property	1 January 2023#

Amendments as to the consequence of effective of MFRS 17 Insurance Contracts.

The Directors expect that the adoption of the above standards and interpretations will have no material impact on the financial statements in the period of initial application.



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3. Auditors' report

The auditors' report of the preceding annual financial statements of the Company and of the Group was not subject to any qualification.

4. Seasonal or cyclical factors

The Group's operations were generally not affected by any seasonal or cyclical factors for the current financial period-to-date under review.

5. Unusual items due to their nature, size or incidence

There were no unusual items affecting assets, liabilities, equity or cash flows of the Group during the current financial period-to-date under review.

6. Material changes in accounting estimates

There were no material changes in accounting estimates in the current financial period-to-date under review.

7. Changes in the composition of the Group

There were no changes in the composition of the Group for the current financial period-to date under review except for the following:

On 13 June 2024, a wholly-owned subsidiary of the Group, Manforce Resources (M) Sdn Bhd has disposed-off a 51% equity interest in Agensi Pekerjaan Manforce Resources (M) Sdn Bhd.

8. Debt and equity securities

There were no other issuance, cancellation, repurchase, resales and repayment of debt and equity securities for the current financial period-to-date under review.



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9. Other investments

	12 Months Ended	
	Unaudited	Audited
	28 Feb 2025	29 Feb 2024
	RM'000	RM'000
Non-current		
Financial asset at amortised cost		
- Unquoted debt security	565	545
- Unquoted investment fund	100	266
Financial asset at fair value through profit or loss		
- Quoted shares	1,883	2,103
	<u>2,548</u>	<u>2,914</u>
Current		
Financial asset at fair value through profit or loss		
- Quoted investment fund	-	-

10. Breakdown of cash and cash equivalents

	12 Months Ended	
	Unaudited	Audited
	28 Feb 2025	29 Feb 2024
	RM'000	RM'000
Deposits placed with licensed banks	3,660	2,792
Less: Pledged deposits	<u>(3,660)</u>	<u>(2,792)</u>
	-	-
Cash and bank balances	10,158	6,301
Bank overdraft	<u>(566)</u>	<u>(2,736)</u>
Cash and cash equivalents	<u>9,592</u>	<u>3,565</u>



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11. Segmental information

The Group's revenue based on its activities are presented as follows:

	28 Feb 2025		29 Feb 2024	
	RM'000	%	RM'000	%
Revenue				
Foreign worker management services	112,570	62.09	90,990	62.56
Manual labour services	67,896	37.45	53,633	36.87
Hostel Management services	334	0.18	260	0.18
Other ancillary services	492	0.27	567	0.39
Total	181,292	99.99	145,450	100.00

Our Group's revenues are generated based on the following:

- Revenue from foreign workers management services business segment are generated based on a pre-agreed rates per foreign worker depending on the shifts (normal day, public holiday or overtime);
- Revenue from manual labour services business segment are generated based on pre-agreed rates calculated based on the number of days and hours worked or output of unit of production;
- Hostel Management services are normally charge on per unit on a monthly basis and ad-hoc maintenance and repair charges; and
- Revenue from other ancillary services are mainly agent fees received from the sale of foreign worker insurance products, income from distribution of top-up phone usage, and remittance services.



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12. Related parties transactions

Related parties	Relationship	Nature of transaction	28 Feb 2025 RM'000	29 Feb 2024 RM'000
MNC HARDWARE TRADING SDN BHD	A company own by family members of Directors	Purchase of equipment/tools	36	117
OE GALAXY RESORT SDN BHD	A company own by a former Director	Employment services rendered	77	96
PRO CURTAIN INSTALLATION SERVICES SDN BHD	A company own by a former Director	Employment services rendered	133	252
MK CURTAIN PREMIUM SDN BHD	A company own by a former Director	Employment services rendered	1	6
MKAYE GROUP SDN BHD	A company own by a former Director	Employment services rendered	26	45
MK TEXTILES HOLDINGS SDN BHD	A company own by a former Director	Employment services rendered	-	11
IMI SUPPLIES SDN BHD	A company own by family members of Directors	Employment services rendered	35	2
SK TEXTILE SDN BHD	A company own by a former Director	Employment services rendered	45	-
MASTERDATA SDN BHD	A company own by family members of Directors	Employment services rendered	38	42

Saved from the above, there were no related parties transactions in the current financial period-to-date under review.

13. Material events during the financial period

There were no material events during the financial period under review.

14. Material events subsequent to the end of the financial period

There were no material events subsequent to the end of the financial period under review.

15. Capital commitments

Capital expenditure as at the date of this interim reporting period but not recognized in the financial statements are as follows:

	28 Feb 2025 RM'000	29 Feb 2024 RM'000
Approved and contracted	2,095	-



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16. Loans and borrowings

	28 Feb 2025 RM'000	29 Feb 2024 RM'000
Non-current liabilities		
- Term Loans	5,411	6,833
- Hire Purchases	-	280
- Lease Liabilities	1,258	179
	<u>6,669</u>	<u>7,292</u>
Current liabilities		
- Lease liabilities	925	53
- Term Loans	1,424	1,364
- Hire Purchases	-	118
- Bank Overdraft	566	2,736
- Revolving Credit	6,583	6,583
	<u>9,498</u>	<u>10,854</u>
	<u>16,167</u>	<u>18,146</u>

17. Earnings per share

- a) The basic earnings per share for the current financial period-to-date under review are computed as below:

	Individual 6 Months Ended		Cumulative 12 Months Ended	
	28 Feb 2025	29 Feb 2024	28 Feb 2025	29 Feb 2024
	RM'000	RM'000	RM'000	RM'000
Profit attributable to the owners of the Company (RM'000)	5,425	3,777	10,893	6,261
Weighted average number of ordinary shares in issue ('000)	<u>319,983</u>	<u>319,983</u>	<u>319,983</u>	<u>319,983</u>
Basic earnings per share (sen)	<u>1.70</u>	<u>1.18</u>	<u>3.40</u>	<u>1.96</u>

- b) Diluted earnings per share is the same as the basic earnings per share as there were no potential dilutive instruments.

18. Contingent assets and contingent liabilities

There were no contingent assets and contingent liabilities as at 28 February 2025.

Part B – Additional information required under the Leap Market Listing Requirements

1. Review of performance

During the financial year under review for the 12-month ended 28 February 2025, the Group recorded a revenue of approximately RM181 million representing an increase of RM36 million or 25% as compared to RM145 million for the financial year ended 29 Feb 2024. The revenue for the current year is mainly contributed from foreign workers management services, which represent 62% of the Group's revenue while the remaining 38% of the total revenue was derived from manual labour management services.

The Group recorded an increase of Profit before taxation ("PBT") of RM5.0 million or 57% from RM8.8 million in FYE 29 Feb 2024 to RM13.8 million in FYE 28 February 2025. The better financial performance in current financial year under review was mainly due to higher revenue from management of foreign workers as a result continued increase in demand from new customers and existing customers respectively. Consequently, our Group Profit after Tax ("PAT") improved by RM4.2m from RM6.3 million in FYE 29 Feb 2024 to RM10.5 million in FYE 28 February 2025.

2. Prospects of the Group

Our Group anticipates stable growth in the foreign worker management services market, driven by Malaysia's positive economic outlook and the expansion of key sectors such as manufacturing, construction and services. Therefore, our Group will continue to explore new business opportunities locally to further expand our customers base and improve our services offerings, thereby strengthening our position in the foreign worker management services market.

Premised on the foregoing and barring any unforeseen circumstances affecting our Group's business activities, our Board remains optimistic of our Group's long-term prospects. Our Group is well positioned to seize growth opportunities in the foreign worker management services sector. We will continuously improve our existing business, which is expected to contribute positively to our Group's financial performance.

3. Variance of actual profit from profit forecast and profit guarantee

The Group has not issued any profit forecast or profit guarantee in any form of public documentation and announcement.



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Part C – Other information

1. Status of corporate proposals

On 10 March 2025, M&A Securities Sdn Bhd (“M&A Securities”), the Principal Adviser had, on behalf of the Board, announced the receipt of the Proposal Letter from Dato’ Wong Boon Ming requesting the Company to undertake the Proposed Transfer of Listing and quotation of its entire issued share capital from the LEAP Market to the ACE Market, which involved the Proposed Voluntary Withdrawal listing of Manforce Group Bhd, from the LEAP Market pursuant to Rules 8.05 and 8.06 of the LEAP Market Listing Requirements.

On 13 March 2025, M&A Securities had, on behalf of the Board, announced that the Board proposed to undertake the Proposed Transfer of Listing which entails the Proposed Withdrawal and Proposed Listing, as well as the Proposed Adoption of a new Constitution to facilitate the implementation of the Proposed Transfer of Listing.

On 2 April 2025, M&A Securities had, on behalf of the Board, announced that Bursa Securities had vide its letter dated 2 April 2025, resolved to approve the Exemptions, subject to the condition that the undertakings set out in the Undertaking Letters remain valid and binding until the completion of the Proposed Withdrawal.

2. Material litigation

There are no material litigations pending as at the date of this report.

3. Dividends

No dividend declared and paid by the Company since the end of the previous financial year.